

# Research Briefing | Europe

## NATO's 2% target – political and fiscal hurdles abound

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### Talk of a European army has re-emerged

### Defence spending needs to rise steeply to reach 2% of GDP by 2024 in Germany, Italy and Spain

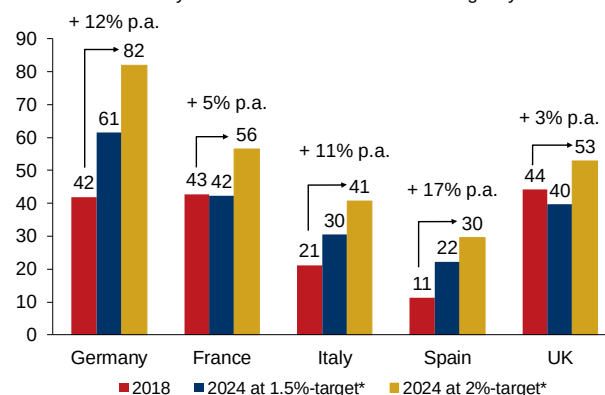
- A more adversarial geopolitical environment and reduced US willingness to countenance free-riding NATO states have put Europe's defence spending back on the agenda. Europe's political commitment to shoulder a larger share of the burden is on the rise, but political and fiscal hurdles are set to prevent current spending of 1.5% of GDP from rising much closer to NATO's 2% pledge.
- On the political front, France and the UK look committed to keeping military expenditure at around 2% of GDP. In contrast, Germany, Italy and Spain appear to lack full political commitment to raising theirs even to 1.5% by the agreed target date of 2024 from current levels of 0.9-1.2% as the target itself is increasingly questioned.
- Weak public finances, EU budget rules and downside risks to the growth outlook are other obstacles. They imply that the required large increases in defence spending would have to come from an active reallocation of fiscal resources from elsewhere. This is politically highly challenging against the backdrop of rising populism.

Europe's defence capabilities have been high on the agenda again in recent years. President Donald Trump's repeated calls on Europe and especially Germany to do more have been the most audible trigger. But interlinked with that is the growing recognition by European governments of the need for higher spending given the rise in geopolitical uncertainty. [Talk of a "European army" has re-emerged](#) not least given French president [Macron's insistent speeches](#). Even in reluctant Germany, a cautious [Chancellor Merkel](#) has signalled support: "The times when we [Europeans] could rely on others are over".

However, actions speak louder than words. Yet so far there is little indication that NATO's EU members are on course to sufficiently accelerate spending any time soon. A lack of political commitment is a key constraint, but economic and fiscal hurdles are not making it easier to raise defence spending either, for instance towards NATO's goal of 2% of GDP.

### NATO: Defence spending

bn national currency & annual increase to meet 2% target by 2024



Source : Oxford Economics/NATO (\*based on OE GDP forecasts)

In 2014, NATO member states agreed to raise their defence spending towards 2% of GDP by 2024. Spending levels vary widely within the EU but generally fall well short of that target. Double-digit percentage increases would be necessary every year until 2024 to close the gap in Germany, Italy and Spain. This would come at the expense of other spending given the subdued growth and weak fiscal outlooks, making it politically very challenging.

## NATO pledged to spend 2% of GDP on defence as geo-political risks return

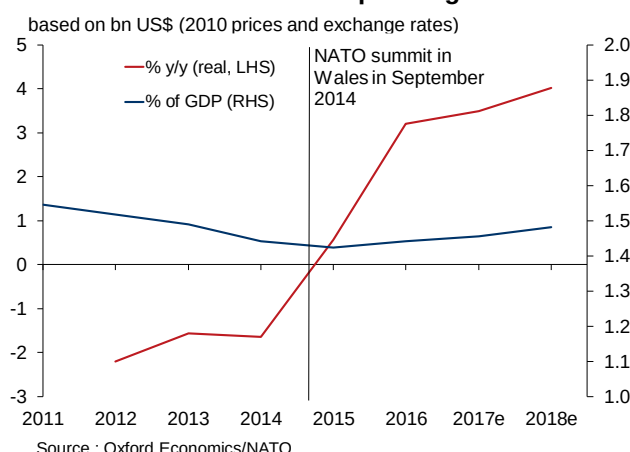
### NATO Europe's defence spending has turned a corner...

Admittedly, European NATO members have made some progress in recent years, and the [NATO summit in Wales in 2014](#) and a more adversarial geopolitical environment appear to have been key triggers. At the meeting, the states agreed that allies whose current spending on defence is below 2% of GDP will “halt any decline in defence expenditure; aim to increase defence expenditure in real terms as GDP grows; aim to move towards the 2% guideline within a decade”. This is the origin of the infamous 2% target wielded by President Trump.

The cause for this political declaration was that geopolitical realities had changed. The 2014 NATO summit in Wales agreed that “Russia's aggressive actions against Ukraine have fundamentally challenged our vision of a Europe whole, free, and at peace. Growing instability in our southern neighbourhood, from the Middle East to North Africa, as well as transnational and multi-dimensional threats, are also challenging our security”. Hence, the long-lasting peace dividend had run out after it had benefitted Europeans after the end of the Cold War and allowed them to reallocate fiscal resources away from defence.

## Chart 1: European defence spending has recovered from 2015 lows

**NATO EU states: Defence spending**



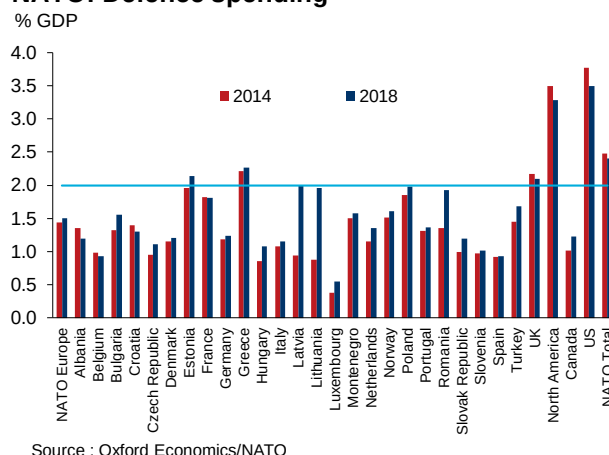
Real defence spending growth turned positive after the NATO summit in Wales in 2014 saw an agreement to raise spending towards 2% of GDP. But an end to austerity in crisis-affected eurozone countries likely also played a role. Moreover, progress has been limited so far, with spending in NATO EU states reaching just under 1.5% of GDP in 2018, up from 1.4% in 2014.

## Few NATO EU states fulfilling 2% pledge

Indeed, in 2015 the defence spending of NATO's EU members turned positive in real terms and growth picked up to over 4% by 2018 (Chart 1). As a result, defence expenditure rose modestly to just under 1.5% of GDP in 2018, up from 1.4% in 2015. The latter marked the lowest level since the end of the Cold War, when spending was still around 3%. Progress was widespread but only modest, and except for the UK, France and several Eastern European countries, many states are still well short of their spending pledges (Chart 2).

## Chart 2: Limited progress on defence spending since 2014

**NATO: Defence spending**



Defence spending has risen as a share of GDP in 17 of the 22 NATO-EU states since the 2% of GDP spending pledge was made in 2014. However, only eight countries are in the “comfortable” zone with spending above 1.8% of GDP. This applies mostly to Eastern European states that would be most directly threatened by any Russian aggression.

## Multiple challenges to raising European defence spending

## Germany, Italy and Spain may not even reach 1.5% of GDP

## Chart 3: Germany in crosshairs but Italy and Spain should also be

## France and UK seem committed to retaining their military muscle

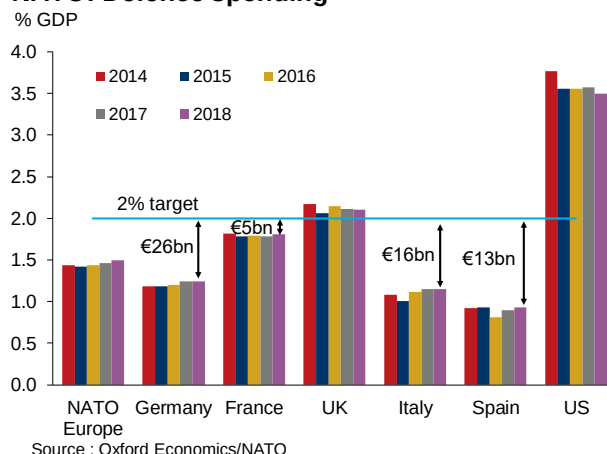
### ... but lack of political commitment...

There are several reasons that make it improbable that the laggards will be willing and able to comply with the pledge by 2024, but we think that a lack of political commitment is at the core. One issue is that the 2% target itself is in question. For instance, there is no convincing reason to target any specific spending level, not least given that [not even China exceeds NATO EU's aggregate expenditure](#). This is a view often aired in Germany and accompanied by references to the [EU's larger spending on humanitarian and crisis-prevention](#) actions. There is merit to that view, but the [dismal state of the German military](#) clearly signals the need to invest more. Yet the aggressive nature of the US president's demands to raise defence spending is not helping with domestic audiences in Europe.

In **Germany**, the government is aiming to spend 1.5% of GDP on defence by 2024, up from about 1.2% in 2018. The 2019 defence budget includes a nominal 12% gain on 2018, so a start has been made. But preliminary budget plans out to 2022 foresee only modest further increases and show the lack of full political commitment (although this is partly due to budget laws that require specific spending objectives to be included). In addition, supply constraints could limit the pace with which spending can be raised as underinvestment in the past has degraded the European defence sector's capabilities, and the 2% goal implies a doubling of spending in absolute terms by 2024 (**front-page chart**). Hence, despite some progress, the 2% target is unlikely to be met by 2024, and even 1.5% looks like a stretch.

In **Italy** and **Spain**, the shortfall is even larger than in Germany (**Chart 3**). In **Italy**, the clear [lack of political commitment](#) and the economic and fiscal challenges ahead make it highly unlikely that Italy will hit the 2% goal. In **Spain**, the [government is also aiming](#) to raise spending to 1.5% of GDP by 2024 from less than 1% in 2018. However, the 2019 budget includes a [freeze in real terms](#), making it unlikely that even the 1.5% target will be met.

**NATO: Defence spending**



Germany has long been the main target of President Trump's political attacks given its huge trade surplus and low defence spending. But Italy and Spain also spend much less than 2% of GDP on their military, with a combined shortfall that more than equals Germany's in absolute terms. In contrast, the UK and France should be in the "safe zone".

In contrast, President Trump should be pleased with France and the UK. If it weren't for these two heavy-weights, NATO EU's spending would have been 1.3% of GDP in 2018. Moreover, last year, the **French** government agreed a [multi-year military budget to 2025](#) that vows to raise defence spending to 2% of GDP by 2025 from around 1.8% currently. President Macron called this "a question of credibility", but the budget is backloaded, with large expenditures only in 2024 and 2025 following a budgetary review in 2021.

The **UK** regards the 2% GDP NATO commitment as very important and in the last spending review (2015) committed to achieving it for the remainder of this decade. This seems credible

even in the event of a no-deal Brexit given that spending exceeded 2% of GDP even in the times of former Prime Minister David Cameron's ["Age of austerity"](#).

Increased EU funds for defence also suggest that there is an increasing understanding of the need to become less dependent on the US defence shield and for more cooperation within the EU. For instance, the EU Commission's budget proposal for 2021-2027 includes a [European defence fund](#) with a 22-fold budget increase, mostly for R&D. But at EUR 13bn (<0.1% of EU GDP) over the whole period, it looks like a drop in the ocean.

### ... and fiscal rules are set to keep 2% pledge out of reach

Overall, there is mixed evidence on EU countries' willingness to materially raise military expenditure. But even if they wanted to, they would face several fiscal challenges. Even in our benign baseline scenario, many EU countries have **limited fiscal space**, as their public finances are still reeling from the Great Recession and subsequent euro crisis. And to comply with EU budget rules, most countries would have to tighten their fiscal stance in the face of a subdued medium-term growth outlook. For instance, [strict compliance with the stability and growth pact](#) requires an improvement of the eurozone's structural balance of about 0.4 ppts of GDP in 2019 in order to narrow the current deficit of about 1% of GDP.

It is true that countries are set to do the opposite in 2019 by significantly loosening fiscal policy by about the same amount, which could point to more available resources. But this is driven by another challenge: [rising populism](#) and **public displeasure** with the status quo. Think of [Italy's recent fiscal drama](#) and the [yellow vest movement in France](#), which resulted in rising social spending and reduced taxes that restrict future fiscal space.

Overall, significantly raising European defence spending can generally only come from an **active re-allocation of fiscal resources**, which appears challenging given the political backdrop. For instance, in Spain, defence spending's share of total expenditure would have to more than double until 2024 to fully comply with the 2% target, which implies an annual increase of 17% p.a. over the next six years (**front-page chart**). Even Germany would likely struggle, as most of its huge fiscal surplus is already allocated to other uses.

Lastly, there are obvious cyclical risks to our benign baseline outlook (Brexit, China, US protectionism) that would seriously challenge the fiscal outlook and likely make it politically even more problematic to allocate a rising share of spending to defence.

### Lack of political commitment may be tested sooner or later

So, despite some encouraging political rhetoric in recent years, we wouldn't hold our breath for NATO EU – foremost Germany, Italy and Spain – to sufficiently raise defence spending even close to NATO's 2% target any time soon. But that reticence may be tested sooner or later. It keeps countries in President Trump's crosshairs and, if push comes to shove, US military support may be called into question. [Recent news](#) that Trump brought up the idea of withdrawing from NATO repeatedly in 2018 underlines that threat.

Hence, from a geopolitical point of view, the lack of political will to shoulder more of the responsibility of defending Europe could well turn out to be unsustainable in the long run. It leaves a weak Europe open to be tested by a number of plausible scenarios given that the regional geopolitical environment has certainly not become less adversarial since the NATO summit in Wales in 2014.

**Limited fiscal space and rising populism to restrict military spending**

**Trump pondering a US withdrawal from NATO could push NATO EU to raise defence spending**